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The World's Bank and the Bank's World

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Who or what shapes and drives the policy and operational behavior of the World Bank? The objective of this essay is to lay the conceptual and empirical framework for this special issue. I begin by constructing a synthetic theoretical model—drawing from principal-agent models and sociological institutionalism—to delineate the set of external and internal factors shaping Bank behavior. I then lay the empirical groundwork by exploring the most salient characteristics of the "world's Bank," taking special note of the Bank's relationship with the United States, borrowing states, and nongovernmental organizations. In the second half, I focus on the "Bank's world," investigating the internal bureaucratic politics and culture of the Bank. Specifically, I examine the sources and nature of the Bank's "intellectual culture" (characterized by its economistic, apolitical, and technical rationality), its "operational culture" (portrayed as driven by approval and disbursement imperatives), and the dynamics of bureaucratic politics that pervade the hierarchy of the Bank. KEYWORDS: World Bank, organizational culture, organizational theory, principal-agent, nongovernmental organizations.

It is ironic. Former US secretary of defense Robert McNamara, who assumed the presidency of the World Bank in 1968, sought to engender an autonomy, authority, and organizational culture that would enable the Bank to rapidly expand its development lending and expertise, and thus ensure the institution's early success. Paul Wolfowitz, the recent US deputy secretary of defense, took the mantle of the Bank in May 2005. Prior to his resignation in May 2007, Wolfowitz sought to overhaul the very culture his predecessor put in place and to renegotiate the Bank's precarious relationship with its varied political masters in order to rein in mission creep and revitalize the Bank's waning effectiveness and legitimacy. The new Bank president, Robert Zoellick, faces similar tasks, even more daunting in the wake of the scandal surrounding Wolfowitz's early departure. Indeed, the president of the World Bank has often been able to mold the institution in his image. Yet over time, as the Bank aged and grew in size, the influence of its leaders has been muted by the push and pull of two factors: the complex politics of the Bank's external environment versus the bureaucratic politics and cultural dynamics of its internal environment. This has led to an enduring puzzle for scholars.

What exactly shapes and drives the policy and operational behavior of the World Bank?

The research articles in this special issue of *Global Governance* seek to explain the dynamic set of factors and subsequent patterns of behavior that we associate with the "world's Bank" and the "Bank's world" and that we use to explain our observations about Bank behavior. Specifically, the articles tackle some of the most salient questions surrounding the Bank: the question of who or what compels the Bank to adopt certain development norms (such as Susan Park's examination of the International Finance Corporation [IFC] and environmental norms), how certain development ideas and policies are produced (Antje Vetterlein's analysis of social policy), and the implementation of espoused values (Judith Teichman's investigation of civil society participation in conditional cash transfer programs in Mexico and Chile).

The purpose of this framework essay is to provide the analytical tools and empirical concepts that will be taken up in the ensuing case studies. I begin by constructing a synthetic theoretical model—drawing from principal-agent models and sociological organizational theory—to delineate the set of external and internal factors shaping Bank behavior. I then lay the empirical groundwork by exploring the most salient characteristics of the "world's Bank," taking special note of the Bank's relationship with the United States, borrowing states, and nongovernmental organizations (NGOs). I then turn to the "Bank's world," investigating the internal bureaucratic politics and culture of the Bank. Specifically, I examine the sources and nature of the Bank's "intellectual culture" (characterized by its economistic, apolitical, and technical rationality), its "operational culture" (portrayed as driven by approval and disbursement imperatives), and its pervasive bureaucratic politics.

Ultimately, I argue that what we identify as the Bank's external political and ideational environment versus its internal culture and bureaucratic politics are not competing variables. Rather, the "world's Bank" and the "Bank's world" are mutually constituted. Distinct bureaucratic characteristics such as the ideologies, norms, language, and routines that are collectively defined as the Bank's culture have emerged as a result of a dynamic interaction over time between the external material and normative environment and the interests and actions of the Bank's management and staff. Once present, dominant elements of that culture shape the way the bureaucratic politics unfolds and, in turn, shapes the way the Bank *reacts* and *interacts* with its changing external authorizing and task environment. Because the borders between the internal and external environments are fluid, malleable, and intersubjective, disaggregation can be problematic. Nonetheless, for analytical clarity and the simple objective of getting a grasp on these questions, I seek to disentangle these worlds to derive a distinct set of analytical tools to use in our empirical investigations.

Theorizing International Organization Behavior: Insights from Principal-Agent Models and Sociological Organization Theory

The World Bank presents an interesting challenge for international organization (IO) theory. Conventionally, IO theory is not about IOs as much as it is about the states that create them. Traditional realist and institutionalist theories treat IOs as reflections of state power and interests, as forums of interstate bargaining, or platforms for resolving collective action problems. Early constructivist IO work explains the influence of IOs in propagating norms that shape state identity or behavior. The commonality is an examination of the effects (or lack thereof) of IOs on *state* interests and behavior. Without ontological acknowledgment of IO agency, incisive questions about IO preferences and behavior rarely arise. Yet these exact questions dominate contemporary empirical work, particularly in the case of World Bank scholarship.[1] And, as demonstrated in the seminal work by Michael Barnett and Martha Finnemore, the field is beginning to reflect this. Theoretical work increasingly assumes IOs to be actors in their own right and tackles head-on the critical evaluation of their relative autonomy, authority, and (mis)behavior.[2]

Two recent "imports" to IO theory offer analytical tools regarding questions of IO agency and behavior that are particularly useful for investigating the driving questions surrounding the World Bank's policies and practices. The first is principal-agent (PA) theory, derived from the discipline of economics and developed richly in studies of public bureaucracies in US politics. The comparative advantage of PA theory is explaining the dynamics among the principal member states (both creditors and borrowers), third-party NGO watchdog organizations, and the Bank as a unified actor.[3] The second is the extension of sociological organization (SO) theory, now largely conflated with a constructivist approach to IOs. SO is particularly suited to examining the normative and ideational sources of external influence shaping the Bank as well as the impact of bureaucratic culture.

Both PA and SO theories offer viable explanations for external and internal variables driving organizational behavior. However, for the sake of brevity and analytical clarity, I focus here exclusively on the perceived comparative advantage of each model, using PA theory to inform the external politics and norms driving the "world's Bank" and SO theory to inform the internal politics and culture shaping the "Bank's world." And while rationalist PA theory might appear ontologically and epistemologically inconsistent with SO theory, empirically the two approaches are powerful complements. Taken within their respective domains of application,[4] together they can illustrate more fully the sum of external and internal influences over the Bank. The objective here is to illustrate their potential synergy in providing a comprehensive analytical toolkit for understanding and explaining the agency and behavior of IOs.

Principal-Agent Models

PA models are designed to examine the delegation of authority and tasks from principals (primarily member states) to agents (IOs). PA theory investigates the conditions under which IOs may attain organizational autonomy, leading to "slack" or "slippage" that enables them as self-interested, rational, and opportunistic actors to shirk member state demands. The driving question is what enables agents to engage in deviant or "errant" behavior, sometimes acting in a manner that appears to blatantly oppose their delegated mandates. IO preferences are largely taken as given: IOs are assumed to have strong preferences for increased organizational autonomy and bureaucratic expansion of mandates and authority.[5] The direction and substance of organizational behavior are functions of the differences ("heterogeneity") between principals' interests and the willingness and ability of these principals to collectively employ available control mechanisms to reward, sanction, or otherwise influence what IOs do.

IOs gain bureaucratic insulation from principal influence and thus opportunities for "slippage" in several ways. First, in agreement with recent constructivist work,[6] PA models posit that IOs derive autonomy and influence via their expertise and the ability to formally or informally set agendas for member states by defining issue areas and constructing specific proposals. Second, and more fundamentally, an IO attains autonomy (i.e., "agency slack") through *asymmetric information*. This refers to the IO's ability to hide information about its activities and thus decrease the ability of principals to closely monitor IO actions. This may result from the highly technical nature or the limited transparency and observability of the IO's work. Principals' unwillingness and ineffectiveness in employing "police patrols" (constant monitoring and sanctioning) or "fire alarms" (whistle-blower mechanisms), due to costs or other political constraints, contribute to information asymmetries, which create room for agency slippage and may facilitate errant behavior.[7]

Third, the IO may attain autonomy from *preference heterogeneity* among multiple or collective principals. The basic point here is that preference differences may produce agency slack if one or more principals thwart the efforts of other principals to employ control mechanisms to monitor or direct agent behavior. More pointedly, we may infer that "errant" agent behavior is a matter of perception: action or inaction in one area by the IO may be perceived as unintended or undesired by one principal while perceived by another principal as strongly aligned with its preferences. This reiterates a fundamental point raised by Michael Barnett and Martha Finnemore about the complex nature of IO "dysfunction." They argue that "IO behavior is dysfunctional only *for* something or someone. . . . Behaviors that seem self-defeating or undesirable from one perspective might make perfect sense from another."[8]

Thus, one key task for PA theory is to discern and measure the heterogeneity of principal preferences, and then ascertain how much this preference heterogeneity matters given the inevitable inequalities in principal influence over the IO. After all, it probably matters little in terms of IO behavioral outcomes if Lesotho disagrees with the United States over the substance of Bank policies and loans. More critical, however, is discerning the differences, for example, between the United States versus the other major donors, such as Japan and the European Part I (donor) member states.[9] A consensus between Japan and Europe is sufficient to effectively balance or counter US preferences, and the Bank may theoretically be effective in "shirking" the demands of the United States if it is able to play off these key differences between its most proximate (powerful) principals.

Principals have several control mechanisms they can employ to ensure that IOs do their bidding. These include various administrative and oversight procedures that allow the principal to monitor IO activity and thus identify and sanction errant behavior when it occurs. These are often articulated in the IO charter mandates and include executive board approval processes, information disclosure policies, rules governing the distribution of funds, and specific directives on the conduct of project management, evaluation, and audits. Formal control mechanisms may also include various sanctioning tools, such as threats to withhold monetary contributions and veto budget allocations or lending proposals. Informally, principals can limit agent slippage through influence over the selection and screening of organizational management and staff and threats to amend organizational mandates. And if a principal holds considerable authority over the appointment of key officials in the IO, that principal can essentially "stack the deck" in a manner that favors its interests.

From the perspective of reducing information asymmetry, the principal member states of the Bank today have the advantage of third parties who monitor and raise the red flag when the Bank deviates from expected and desired behavior. In PA language, this is the function of "police patrols and fire alarms,"[10] most notably northern nongovernmental organizations in the case of the Bank. Critically, as Park describes in this issue, these NGOs can also play an essential role not just as watchdog organizations, but also as sources of ideational influence over IOs by working through states to indirectly delegate new development agendas and mandates. While this is a process more commonly associated with a constructivist approach and transnational advocacy network models,[11] it can nonetheless fit into a more broadly conceived PA framework that recognizes the distinct influence of "nonstate principals" in the principal-agent relationship.[12]

Thus, the PA approach provides a seductive, parsimonious model to predict and explain IO behavior. It suggests that we should expect IO policies and operational behavior to closely reflect the preferences of the most proximate and powerful member states when principal preferences are relatively homogenous, when information asymmetries are small, and when principals are able to overcome their own collective action problems and effectively use their various control mechanisms to shape IO behavior. Likewise, we should expect IOs to shirk principal demands and follow their own self-interest when these conditions are absent.

Sociological Organization Theory

SO holds a distinct advantage over PA analysis in explaining IO behavior, insofar as agent preferences are not assumed but rather are understood through an investigation of the "social life" within bureaucracies. SO theory unpacks the proverbial black box to reveal how bureaucratic culture and politics determine organizational policies and practices. Explanations of IO policies and practices are thus framed not in terms of external politics, but rather in the embedded ideologies and norms, processes of socialization, and the internal struggle over ideas and resources.

Organizational culture features prominently here. I purposely take a broad definition of culture to embody both formal and informal aspects of organizational life: the ideologies, norms, routines, rules, and incentive structures that shape staff members' expectations and interactive behavior. Such culture evolves from the distinct need of bounded rational individuals to create standard operating procedures and shared understandings about "how things are done" in a complex bureaucratic environment.[13] In more theoretical terms, this culture strongly informs staff members' logic of appropriateness and consequence, letting them know how to respond to new tasks or challenges, which formal policies "really matter," what behavior will get rewarded or sanctioned in hiring and promotion processes, and what ideas regarding organizational policy and practice may be more readily received. Culture in this sense is intrinsic to our understanding of strategic behavior and thus to the bureaucratic politics that drives organizational policies and practices. Bureaucratic actors, taking cues from culture to figure out what constitutes "rational" behavior, will adopt appropriate language, methodological tools, and other framing techniques to promote their ideas and gain voice and resources within the institution.[14]

The complex nature and dynamics of bureaucratic culture and politics are best demonstrated through the empirical case studies in this issue rather than through a long theoretical treatise in this essay. But the punch line here is clear: SO complements PA analysis. SO theory refocuses the level of analysis toward internal culture and politics, which ultimately allows us to say something substantive about "how the Bank thinks and what it wants." This, in turn, enables us to get beyond explanations of *when* an IO can deviate from principal demands to explanations of *why* and *how* IO policies and practices diverge.

The World's Bank

The Donor States

As PA theory predicts, the primary external factors that matter in terms of understanding patterns in Bank policies and operations are the interests and power of the organization's most dominant donor and client states. On the one hand, these principals grant considerable authority and independence to the Bank through various delegated functions. On the other hand, they exercise considerable material and normative power that can check the Bank's autonomy. PA theory explains how the Bank's member states employ control mechanisms through a complex delegation relationship to direct and shape the organizational behavior of the Bank.

The Bank's 185 member states theoretically can leverage control over the organization's behavior through their financial contributions, demands for the Bank's services, and formal representation through the Bank's boards, to whom the Bank is technically accountable for all of its activities. In practice, however, only a few of the major donor and client states exert real influence over the institution. Five donor states represent the major shareholders of the Bank, together controlling 37.24 and 39.78 percent of the votes, respectively, on the executive boards of the International Bank for Reconstruction and Development (IBRD, the "hard-loan" window) and the International Development Agency (IDA, or "soft-loan" window).[15] In the case of the IDA, which depends heavily on donor contributions, these five states collectively account for nearly $88 billion, or 70.75 percent of the IDA's cumulative subscriptions.

The most powerful donor state is obviously the United States, which now controls 16.39 percent of the votes on the IBRD board (giving it de facto veto power over any charter amendment proposal) and 13.44 percent of the votes on the IDA board.[16] The United States itself merits singular attention here due to its unique and disproportionate power over the Bank. The geographical proximity, the use of English as the working language, and the prevalence of US-trained specialists signal a high level of indirect influence for the United States over the Bank. Moreover, the Bank president (who also chairs the executive board), is, by gentlemen's agreement, always American and traditionally the exclusive choice of the US president in consultation with the US Treasury. In other ways, the sources of US influence are by and large similar to those of the other donor states. We can thus generalize from the case of the United States some essential points about the relationship between the Bank and its donor states writ large.

The United States has historically been most successful in influencing Bank policy through its "power of the purse," particularly with respect to IDA funding. The US share of IDA replenishments is negotiated every three years, with appropriations approved *every year* by the relevant committees of the US Congress. This gives Congress the opportunity to place demands on the Bank by threatening to withhold funds or block IDA replenishment agreements if the Bank does not comply with its wishes. For example, in 1993, the chairman of the House authorizing committee informally told Bank management that the US contribution to the tenth replenishment of the IDA (IDA 10) would not be forthcoming until the Bank adopted a public informational disclosure policy and promised to established an independent Inspections Panel. Most recently, during the IDA 14 replenishment process, the United States made several demands for new policies to ensure "results measurement" in IDA lending decisions, such as the strengthening of the Country Policy and Institutional Assessment (CPIA) process. The IDA 14 agreement, signed in June 2005, also incorporated a larger "grants component" to all IDA lending (30 percent) and an increased amount of IDA funds dedicated to private sector development.[17]

The US Congress also passes legislation that directs how the Bank's US executive director may vote on certain Bank policies and projects. For example, in 1989, in response to growing NGO concerns, Representative Nancy Pelosi sponsored an amendment that requires US executive directors of international financial institutions to abstain from any vote on a loan that would have a significant impact on the environment and did not make publicly accessible an environmental assessment for the project at least 120 days prior to the board's vote. Notably however, a no vote or abstention by the US executive director rarely blocks a board decision. Nonetheless, one must not discount the informal influence of the US government and the executive director, who more often than not exercise voice prior to an actual board vote. Voting on the executive board is largely by consensus, and thus the United States may be highly effective in persuading others to its position prior to any formal vote.

US demands have sometimes been muted or contradicted by other major donor states. For example, in the mid-1990s, increased concern over US attempts to tie aid contributions to conditions mandating that funds be used in part to hire US contractors led the European and Japanese governments to form an Interim Trust Fund within the IDA that would effectively deny US companies a chance to bid on development aid projects.[18] The rise of trust funds in general, which are accounted for separately from the Bank's own resources, indicate where principal member states have sought avenues of influence over Bank research and technical assistance outside the normal IBRD and IDA subscriptions. The trust funds grant specified amounts of bilateral money for "special projects," allowing the donors more direct control over the substance of Bank research and operations.[19] Japan, for example, has actively used trust funds as a way to counter US ideological influence over the Bank. In the early 1990s, the Japanese government funded the now-infamous East Asian Miracle Report, which was intended to challenge the "US neoliberal" economic paradigm dominant in Bank research. Currently, Japan funds its own Social Development Fund.

Donor state conflicts are increasingly common. The negotiations for the thirteenth IDA replenishment were held up for over three months past the December 2001 deadline due to a dispute between the United States and its European counterparts on a condition the United States attached to the funding that would mandate at least 50 percent of IDA disbursements to be in the form of grants rather than loans, as well as a dispute over the role of the private sector in Bank operations that addressed essential services, such as health care, education, and water.[20] While disagreements among donor states do not necessary translate into "slippage" for the World Bank, it certainly indicates that the United States is not always fully capable of imposing its interests on the organization at will; in fact, principal conflict may actually increase Bank autonomy insofar as it inhibits US efforts to control Bank activity.[21]

Developing Country "Clients"

Conventional wisdom lends little leverage especially to the developing countries that heavily rely on Bank loans and grants. Although the International Monetary Fund (IMF) plays an even stronger role here, failure to comply with Bank loan conditions, or defaulting on loans, is an important signal to private lenders that a country is not "creditworthy." As a result, for many of the poorest countries of the world that would not under any circumstances qualify for private commercial loans or that cannot afford higher interest rates, the IDA is among the very few sources of funding.[22]

Nonetheless, the Bank's power over its client states is limited in two ways. One overt form of power available to the Bank's largest client states is the threat of loan default.[23] In 2005, the IDA's top ten borrowers alone accounted for over $5 billion of the $8.696 billion lent by IDA in that year—over $1 billion of which was borrowed by India.[24] In such a scenario of loan default by the biggest IDA borrowers, the Bank would have to tap the callable capital of its major donor states—something it has never done. This would not only cause great concern and ire among the donor states who are already fighting to maintain levels of official development assistance, but would also risk the Bank's bond ratings on the private capital markets and thereby weaken its primary source of funds. A second limitation stems from the larger borrowing countries, which, cognizant of Bank staff members' imperative to lend money and get projects approved, may resist conditions during loan negotiations. Likewise, once conditions are in place, many of the biggest and geopolitically important borrowers, such as Russia and Brazil, may not comply under the logic that the Bank (and IMF) will continue to release loan tranches anyway because of political and economic imperatives or reluctance on the part of Bank staff and management to abandon programs in progress.

Borrowing countries' influence over the Bank today is probably most visible in terms of the pressure on the Bank stemming from the dramatic decline in demand from middle-income countries at the same time that the Bank is facing increasing competition from private capital markets.[25] The Bank, after all, is a for-profit institution and a *bank*, which means its fundamental raison d'être is to lend money. Middle-income countries are thus the Bank's bread and butter—borrowing from the IBRD (the hard-loan window) and thus underwriting the Bank's primary source of financial autonomy and sustainability. The IBRD's profits not only allow the Bank to expand its lending and thus grow as an organization, but they also in part fund the activities of the IDA, thus making the Bank less dependent on donor states.[26] However, middle-income countries such as China, Russia, and Brazil have recently weaned themselves from Bank funds and turned increasingly toward private capital markets, where commercial interest rates are declining and loans are more attractive than Bank funds, which come with numerous strings attached. While there is considerable debate over the extent to which this demand-side shock puts the Bank at risk of financial peril, it has compelled the Bank since the mid-1990s to seek reforms to become more "client-focused" and less willing to readily cede to donor state and NGOs demands for increasing safeguard and other loan conditionalities that detract big borrowers.[27]

Police Patrols, Fire Alarms, and Norm Generators: The Role of NGOs

Confining the definition of *principals* to only member states leaves out several other critical external sources of direct and indirect influence.[28] One of the most spectacular features of the Bank's changing external environment since the early 1980s is the rise of international and local nongovernmental organizations and civil society groups, many of which have been extremely outspoken and have put the World Bank's legitimacy in jeopardy. In PA terminology, these NGOs, such as the Bank Information Center and Environmental Defense in Washington and the Bretton Woods Project in London, fill critical roles as police patrols and fire alarms. They have assumed the constant monitoring and whistle-blowing functions that the states themselves have not resourced, and in some cases have called the states to account for the apparent errant behavior of the Bank.

In the United States, NGO activism resulted in numerous pieces of legislation intended to promote Bank reform, directives on how the US executive directors to the banks can vote, and several US government studies, reports, and ad hoc oversight committees. The overall effect on the Bank has been a greater demand for accountability on the effects of its loans, as well as specific operational policies requiring environmental and social assessments during the appraisal and implementation of projects.[29] One very recent example is the

NGO participation in the drafting of the 2006 US Foreign Operations Appropriation Bill, which contains new legislation regarding greater transparency and accountability at the multilateral development banks. The law specifically requires the US executive director to raise specific proposals for reform concerning loan oversight, audit functions, and internal whistleblower protections, and to push for board adoption of these new rules. NGOs, such as Environmental Defense, were very influential in testifying before the US Congress and working closely with Senator Dick Lugar, the lead author of the bill.[30]

The often small and underfunded NGOs have virtually no direct material means of influencing the World Bank, but the threat they pose to the Bank's external legitimacy has affected the way the Bank portrays and pursues its operations. Perceiving the need to appear responsive to and inclusive of NGOs and civil society groups, the Bank now keeps close track of any NGO involvement in Bank activities and is quick to highlight the increasing percentage of projects in which NGOs have played (even if marginally) a role. A less visible, but equally significant, role of the NGOs is as a source of new development norms and agendas. NGO campaigns have contributed not only to new environmental and social safeguard policies, but also to a visible increase in relevant staff, units, and resources devoted to the sustainable development agenda in the World Bank—a process that has sparked an internal "socialization" around new environmental norms within the Bank.[31] While many still dispute the degree to which the Bank has embraced and mainstreamed its environmental agenda, lending for stand-alone environmental programs has visibly increased since 1993,[32] the number of staff in the Environmental and Socially Sustainable Development Unit has risen, and several *World Development Reports* and other research publications have focused on environmental, social, and participatory development ideas.

The Bank's World

A recent World Bank Staff Association newsletter sums up the Bank's world in an article titled "The Bank Group Is Always Navigating in Political Waters."[33] Certainly, the success of NGOs in policing and whistle-blowing, particularly during the 1990s, has enabled and compelled principal member states to push for reforms leading to more effective accountability and transparency measures in the Bank. The overall result appears to be a decrease in information asymmetry and in the effective use of control measures, implying greater external influence over the Bank. However, this progress may be more or less balanced by the organizational slippage resulting from increasing evidence of principal preference heterogeneity. To the extent that different principals seem to be conveying contradictory marching orders to the Bank, the overall effect may be a "canceling out," or at least a visible mission creep, but less visible change in the real operational practices of the Bank.[34]

In fact, the Bank over time has proven quite adept at buffering itself from external pressures and in some instances actually shaping external interests in its favor. This bureaucratic autonomy and authority derives not simply from slippage or gaps in the control mechanisms employed by the multiple principals described above, but also has been proactively engendered by the Bank—particularly by its organizational leaders—in key areas of its structure and activities. This autonomy and authority is derived from limited or constrained board oversight, the Bank's unique position in "generating ideas" through its immense research expertise and publication capacity, as well as its diffusion of knowledge through various education and training programs.

Insofar as the Bank has carved out autonomy and authority in its external political environment, it creates space for the internal bureaucracy to exercise more influence over the direction and substance of Bank policies and programs. With that in mind, I now turn to the internal social life of the Bank to look more critically at the character and dynamics of this bureaucracy. I tackle the explanation of bureaucratic politics and culture on two fronts: the ideology and intellectual research culture and, then, the operational culture of the Bank.

The Ideology of the World Bank

The Bank is an incredibly diverse institution, comprising staff from an astounding array of national and disciplinary backgrounds. Contrary to many critics' beliefs, debate and dissent are not difficult to find. Nonetheless, even among the Bank staff that espouse alternative perspectives, a widespread perception exists that there is, in fact, one distinct "Bank" ideology that trumps all others when it comes to crafting the Bank's approach to development theory and practice. This ideology for the past quarter-century has been characterized as an apolitical, technocratic, and economic rationality.

The apolitical and technical components are rooted in the Bank's own organizational mandates, which prohibit the organization from becoming involved in the political affairs of its member states or taking political considerations into account when making lending decisions. This has significantly shaped the way the Bank has historically approached the task of defining and pursuing development, although many critics and Bank staff would argue that "apolitical" is often more fig leaf than reality. From early on, the Bank strategically narrowed its range of activities to seemingly "neutral" or technical tasks, such as targeted lending for infrastructure, at the same time that other development agencies endowed with different mandates pursued development based on notions of rule of law, human rights, and democracy. Internally, this espoused adherence to apolitical, technical rationality as part of the official ideology also serves organizational interests. The Bank president and senior management can invoke the Bank's mandate as "an anchor and a shield, limiting the degree to which the Bank responds to external pressures."[35]

Apolitical and technical rationality naturally fed into the dominance of economic theory in the Bank's formative years. In the late 1960s, economic theory's claim to objective, reductionist, and quantitative reasoning appealed to President McNamara's own personal obsession with numbers and also allowed the Bank to construct universal models and standard project blueprints that enabled the Bank to rapidly expand its lending portfolio. Subsequently, the number of economists with the Bank rose dramatically in relation to the traditional core of engineers, architects, and other technical assistance specialists. The debt crises in the 1980s, combined with the general neoliberal turn of the Reagan and Thatcher administrations, led to a greater focus on macroeconomic policy reform through structural adjustment lending. Under President A. W. Clausen (a former commercial banker) and chief economist Anne Krueger (a strict supply-side economist), a new class of neoclassically trained economists soon occupied senior management. The Bank's hiring and promotional practices in this era strongly favored individuals with advanced degrees in economics or finance from a small set of US and British graduate programs.[36]

Despite recent efforts to diversify Bank staff to address new issues such as gender, governance, and the environment,[37] there still appears to be an absence of ideological pluralism in the organization's most prominent research, as argued by Vijayendra Rao and Michael Woolcock in this issue.[38] Research output is dominated by one arm of the World Bank: the Development Economics Vice Presidency (DEC), which is also home base for the writing and vetting of the annual *World Development Report*. Jean-Jacques Dethier, a research manager at DEC, confirms that an overwhelming majority of the researchers in DEC are economics PhDs, despite a general interdisciplinary trend in global development theory and practice over the past several decades.[39] This strongly shapes how the Bank as a whole "thinks" about its mission of development and how—or whether—new ideas get into this mix. As Antje Vetterlein argues in this issue, noneconomic social scientists seeking to get their ideas across within the organization must often strategically craft their ideas within the comfortable theoretical and methodological language of economics in order to be heard.[40] Former senior staff member Moises Naim argues that in the Bank, "economic reasoning is respected while 'soft' sociological-type analysis is belittled."[41]

The ideological hegemony of neoliberal economics perspective is reinforced by what Robert Wade calls the "art of paradigm maintenance"—the careful vetting and censorship of prominent Bank publications and public statements by key officials.[42] Paradigm maintenance is furthered by an internal intolerance of dissent, despite very public claims by its leaders that the Bank prides itself on pluralistic debate and internal self-reflection and criticism. For example, in mid-1996, after James Wolfensohn entered office and declared that the Bank would become more open and transparent, he sent an internal memo to the staff in which he stated that "criticism must be internal and constructive. . . . I will regard externally-voiced criticism of the Bank as an indication of a desire to find alternative employment."[43] More recently, a number of publicized dismissals and resignations of high-ranking staff have indicated that organizational censorship may actually be increasing as the Bank becomes more sensitive to challenges to its legitimacy by public protests.[44] A World Bank Staff Association newsletter in October 2001 tackled the question of freedom of speech within the Bank, arguing that the rather arbitrary application of rules governing when and how the staff may share information with the public has created a culture of fear, uncertainty, and anxiety resulting in plummeting staff morale. David Ellerman, in the same newsletter, attacked senior management for "enshrining their Official Views" and making it clear that "those who argue against Official Views outside the organization—particularly with any public notice—are seen as traitors being disloyal to the organization itself."[45] Ultimately, as Wade argues, "The Bank's legitimacy depends upon the authority of its views; like the Vatican, and for similar reasons, it cannot afford to admit fallibility."[46]

The Bank's Operational Culture

In the early 1990s, the Bank conducted an internal evaluation of the Bank's operational portfolio, seeking to determine what accounted for the dramatic decline in lending performance over the previous decade. The internal report, later leaked, made a surprising admission. The lead author, then vice-president Willi Wapenhans, attributed the poor results to two aspects of the Bank's internal operational environment: what he called the pervasive "disbursement imperative" and the "Washington-centric approval culture." Since the leak of the report in 1992, these two traits have been repeatedly evoked to describe the operational culture of the Bank. The most recent Strategic Compact reorganization, under President Wolfensohn, attempted to revamp the hierarchy and incentives structures of the Bank to root out this culture. Yet, as statements by his successor, Wolfowitz, indicated, the disbursement imperative and approval culture still linger, revealing much about what actually drives staff behavior in the construction, implementation, and evaluation of Bank programs.

The origin of the "disbursement imperative" is often traced to McNamara, who became president of the Bank in 1968. Seeking to increase the relevancy and authority of the Bank, he initiated annual lending targets that over his thirteen-year tenure increased Bank lending from $1 billion to $12 billion. He accomplished this in part by granting internal promotions on the basis of loan targets. As a result, staff members had a strong incentive to go out and find "bankable" projects (particularly those that would require large loans), convince borrowing governments of their necessity, and get the projects designed and approved by internal management and the executive board of directors as quickly as possible. The current rhetoric of "putting the borrower country in the driver's seat" is largely negated by the mixed effectiveness of Bank management in replacing old incentive structures with new ones that reward staff for loan results rather than the loan disbursements.

The disbursement imperative also strongly affects the design of project loans, historically tending toward "blueprint" models rather than programs specifically tailored to country needs. Moreover, there is a strong value placed on the technical inputs and outputs that could be quantitatively measured. Staff tend to design projects that show the number of specific things to be accomplished, such as number of students enrolled in a school-building project, with targeted outcomes that attempt to correlate such outputs with the organization's goals, such as overall reduction in illiteracy rates. This significantly biases Bank projects toward development activities that can produce certain kinds of results, while steering them away from activities that may not produce immediate tangible effects. Perhaps more striking is how this ideology and quantitative bias affects what information is gathered and taken into account during project appraisal and design. Theoretical and methodological backgrounds, reinforced through Bank training practices, direct staff to pay attention to certain key variables when assessing the need or viability of a project. Considerable weight is given to economic and technical factors that are easy to identify and measure, whereas complex political and social risk assessment that involve "soft" qualitative indicators are usually neglected or distrusted as "unscientific."

Overall, the Bank's operational culture historically has suffered from an absence of effective monitoring and evaluation leading to organization learning. Internal oversight units, such as the Operations Evaluation Department (now the Independent Evaluation Group) and the Quality Assurance Group, are not always seen as particularly influential in terms of producing lessons that impact policy practice. Moreover, the inward-focused approval culture, high staff turnover on projects, and the tendency to blame project failures on "exogenous factors" or "poor borrower compliance" counteract rhetoric about "results-oriented management" and "client responsiveness" (although new efforts to decentralize staff away from Washington have produced progress toward these goals). Nonetheless, the path dependency of such internal bureaucratic norms and routines significantly affects processes of operational learning and adaptation, which must be accounted for in explaining the direction and substance of ongoing changes in Bank policy and practice.

Conclusion

Overall, the Bank possesses strong intellectual and operational cultures that factor strongly into our understanding of how bureaucratic behavior occurs.

This "black box" analysis provides a fairly persuasive explanation of organizational preferences and bureaucratic personality, which can then be plugged into the PA model to provide a more rigorous framework for explaining Bank behavior. The result is a dynamic synthetic framework. Not only may we tackle the scope conditions under which organizational slippage occurs and opportunities for shirking arise, delineating when and where the Bank may pursue policies and practices that deviate from member state interests. We may also, by unpacking the internal character and dynamics of the Bank's complex bureaucratic environment, say something quite substantive about the kinds of policies and practices the Bank will embrace or resist given the chance for autonomous action.

Two empirical case studies in this issue analyze and test these arguments. First, Vetterlein examines how the World Bank's social policies have evolved over the last two decades, culminating in last year's Bankwide social development strategy titled *Empowering People by Transforming Institutions*. Vetterlein's case is important for revealing the complex interplay of external political processes enacted by member states, NGOs, and other international organizations intersecting with the internal culture of the Bank established by McNamara in the late 1960s and 1970s.

Importantly, Vetterlein documents the Bank's dramatic policy reversals on social issues in development. Beginning in the early 1980s, she traces how social policies came to be understood as necessary safety nets to offset the harsh realities of structural adjustment lending. In response to internal and external pushes for a broader role for social development policies, the Bank then incorporated social policies into its formulation of development. Indeed, in the late 1980s to early 1990s, the Bank argued that social policies were considered to be *facilitators* of growth. From being an unfortunate side effect of development to becoming a key to growth, social development policies are now viewed as integral to the entire development process. The dramatic shifts in the Bank's policies, Vetterlein argues, result from internal advocates for social policies within the Bank's economistic bureaucratic culture dovetailing with external political pressure.

Second, furthering a discussion of the Bank's shift in environmental and social policies, Park compares the Bank's internalization of sustainable development with one of the World Bank Group's affiliates, the International Finance Corporation. Both the Bank and IFC were strongly influenced by environmental groups such as transnational advocacy networks to shift toward sustainable development. While IFC has attempted to ensure compliance with its environmental and social safeguard policies and mainstream environmental ideas, the Bank continues to struggle. Park argues that IFC rather than the Bank has become a champion of sustainable development norms to clients, collaborators, and competitors within the project finance industry. The comparison reveals how both internal culture and external contestation over the

Bank's role in international development continue to prevent the organization from championing sustainable development. ⊕

Notes

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1. See, for example, Jonathan R. Pincus and Jeffrey A. Winters, eds., *Reinventing the World Bank* (Ithaca: Cornell University Press, 2002); Morten Bøås and Desmond McNeill, eds., *Global Institutions and Development: Framing the World?* (London: Routledge, 2004); Michael Goldman, *Imperial Nature: The World Bank and Struggles for Social Justice in the Age of Globalization* (New Haven: Yale University Press, 2005); and David Ellerman, *Helping People Help Themselves: From the World Bank to an Alternative Philosophy of Development Assistance* (Ann Arbor: University of Michigan Press, 2006).

2. Michael Barnett and Martha Finnemore, *Rules for the World: International Organizations in Global Politics* (Ithaca: Cornell University Press, 2004).

3. The analytical assumptions and tools offered in the model can also be extended to explain patterns of bureaucratic behavior and change as a function of internal principal-agent relationships, such as between the president of the World Bank and his staff. See Daniel Nielson, Michael J. Tierney, and Catherine Weaver, "Bridging the Rationalist-Constructivist Divide: Reengineering the Culture of the World Bank," *Journal of International Relations and Development* 9, no. 2 (June 2006). Notably, the PA model does not ask where the interests of Northern construction contractors and Southern citizens (project-affected groups) fit into the PA model. PA models focus almost exclusively on principals (here: member states) who possess formal delegation power over the Bank. NGOs fit in here primarily as third-party fire alarm mechanisms, monitoring and revealing deviant agent behavior that helps principals to effectively reduce information asymmetries and better employ control mechanisms to direct agent (IO) behavior. I agree that private corporations and Southern citizens (project-affected groups) do have influence, particularly over specific Bank projects. But their mechanisms of influence are quite different from those of principals and deserve much richer empirical investigation and analysis than space allows here. For the sake of analytical parsimony and showing the relationship between PA and sociological models, I have left out these variables.

4. Joseph Jupille, James Caporaso, and Jeffrey Checkel, "Integrating Institutions: Rationalism, Constructivism, and the Study of the European Union," *Comparative Political Studies* 36, no. 1 (2003): 7–40.

5. One exception is Interpol, which actively sought to limit its mandates and authority at critical points in its institutional history. Liv Coleman and Michael N. Barnett, "Designing Police: Interpol and the Study of Change in International Organizations," *International Studies Quarterly* 49, no. 4 (2005): 593–619.

6. See Barnett and Finnemore, *Rules for the World*, ch. 2. They expand on the conditions for IO autonomy and influence, adding the IO's legitimacy via its rational-legal authority.

7. Matthew McCubbins and Thomas Schwartz, "Congressional Oversight

Overlooked: Police Patrols vs. Fire Alarms," in M. McCubbins and T. Sullivan, eds., *Congress: Structure and Process* (Cambridge: Cambridge University Press, 1987), pp. 426–440.

8. Barnett and Finnemore, *Rules for the World,* p. 36. The problem of principal preference heterogeneity leads to another problem: mission creep. When principals disagree, as is often the case, particularly between the Part I (donor) and Part II (borrowing) states, the Bank often receives conflicting or very complex marching orders and can result in goal incongruence. This leads to what Tamar Gutner calls the problem of "antinomic delegation," a situation in which "principals [delegate] tasks that do not easily conform to the institution's mission and internal incentive systems, or are simply very complex and difficult to carry out." Gutner argues that this, in turn, can contribute to a problem of mission creep, defined as the "mushrooming of new institutional goals without a corresponding reduction in old goals." See Tamar Gutner, "Explaining the Gaps Between Mandate and Performance: Agency Theory and World Bank Environmental Reform," *Global Environmental Politics* 5, no. 2 (2005): 10–37.

9. In the International Development Association, principal member states are divided into two groups: Part I are the "donor" states that replenish the IDA funds every three years, and Part II are the "borrower" states.

10. McCubbins and Schwartz, "Congressional Oversight Overlooked."

11. Margaret Keck and Kathryn Sikkink, *Activists Beyond Borders: Advocacy Networks in International Politics* (Ithaca: Cornell University Press, 1998).

12. See also Erica Gould, "Money Talks: Supplementary Financiers and International Monetary Fund Conditionality," *International Organization* 57, no. 3 (2003): 551–586.

13. The literature on organizational culture is too vast to cover in this article. For a good overview of the perspective adopted here, see Edgar Schein, *Organizational Culture and Leadership* (San Francisco: Jossey-Bass, 1992).

14. Anthony Bebbington, Scott Guggenheim, Elizabeth Olson, and Michael Woolcock, "Exploring Social Capital Debates at the World Bank," *Journal of Development Studies* 40, no. 5 (2004): 33–64; Bøås and McNeill, *Global Institutions and Development*. See also discussions of "norm or policy entrepreneurship" within bureaucratic cultures—for example, Nuket Kardam, "Development Approaches and the Role of Policy Advocacy: The Case of the World Bank," *World Development* 21, no. 11 (1993): 1773–1786.

15. World Bank, *Annual Report 2005* (Washington, DC: World Bank, 2005).

16. The US contribution to the IDA in the thirteenth replenishment round in 2002 (IDA 13) equaled 20.12 percent of all contributions. However, in IDA 14 (ratified 30 June 2005), the US contribution dropped to 13.78 percent.

17. Jonathan Sanford, "Multilateral Development Banks: Current Authorization Requests," Congressional Research Service Report for Congress, 3 May 2005, pp. 3–4.

18. US General Accounting Office, "Multilateral Development Banks: U.S. Firms' Market Share," US General Accounting Office, Report No. GGD-95-222, 1995.

19. At the same time, the proliferation of trust funds from multiple member states may also ironically grant more autonomy to Bank staff, who can proactively seek out these funds to pursue research or pilot projects outside the Bank's normal budget.

20. In the end, donors agreed that grants would constitute 18–21 percent of all IDA 13 aid. Sanford, "Multilateral Development Banks," p. 3.

21. Sanford points out that the European donors have demonstrated an interest in attaining greater influence over the IDA by increasing their relative shares of the IDA contributions and votes, thus balancing the US influence derived from its financial leverage. He notes that the Europeans pushed very hard during the IDA 14 negotiations to increase the overall size of the replenishment, contributing more themselves even as

US donations declined. He suggests that this may mean "that the European countries (EU members control over 31% of the vote in the World Bank) may wish to exercise a larger leadership role than before in the MDBs" (Sanford, "Multilateral Development Banks," p. 4). If the European states should decide to act collectively, as they do in the WTO ministerial rounds, it could introduce a whole new dynamic to Bank board politics that challenges traditional understandings of US dominance over the Bank.

22. Graham Hancock, *Lords of Poverty: The Power, Prestige, and Corruption of the International Aid Business* (New York: Atlantic Monthly Press, 1989), p. 5.

23. Bruce Rich, *Mortgaging the Earth* (Boston: Beacon Press, 1984), p. 185.

24. World Bank, *Annual Report 2005.*

25. Johannes F. Linn, "The Role of the World Bank Lending in Middle Income Countries," comments presented at the Operations Evaluation Department (OED) conference "Effectiveness of Policies and Reforms," Washington, DC, 4 October 2004. In 1994, the private sector accounted for 72.5 percent of new foreign resource flows to all developing countries, while the World Bank accounted for only 3.3 percent. US General Accounting Office, "World Bank: US Interests Supported, but Oversight Needed to Help Insure Improved Performance," US GAO/NSIAD-96-212, September 1996.

26. Contributions from donor states currently amount to $18 billion of the $33 billion that will be made available to IDA borrowers between FY 2006 and FY 2009 (IDA 14). The remaining funds come from internal Bank sources, including repayment on past IDA loans and transfers from the IBRD net income. See http://web.worldbank.org/WBSITE/EXTERNAL/EXTABOUTUS/IDA/0,,contentMDK:20189587~menuPK:413944~pagePK:83988~piPK:84004~theSitePK:73154,00.html (accessed 19 March 2006).

27. According to the World Bank's 2006 *Medium-Term Strategy and Finance Paper* (p. 12), actual and projected net flows for FY 2002–FY 2009 will remain negative until FY 2007 (estimated to be –$1,717 million). In FY 2008, the net flows are expected to return to a positive balance of $756 million. I thank one anonymous reviewer for pointing me to these data.

28. These include the private capital markets, other development aid agencies, and epistemic communities of scholars in the international development regime. However, for the sake of brevity I focus here on the role of NGOs.

29. The Bank Information Center (BIC) keeps track of the primary NGO campaigns and their impact on changing Bank policies and practices. See Bank Information Center, "How Project Campaigns Influence Policy Changes at the World Bank," Bank Information Center Report, 11 December 2001, available at www.bicusa.org. For a critical assessment of the growing NGO influence over the Bank, see Sebastian Mallaby, *The World's Banker: A Story of Failed States, Financial Crises, and the Wealth and Poverty of Nations* (New York: Penguin Press, 2004).

30. Foreign Operations, Export Financing and Related Programs Appropriation Bill of the 109th US House of Representatives, Report 109-152, signed into law 24 June 2005.

31. Susan Park, "Norm Diffusion Within International Organizations: A Case Study of the World Bank," *Journal of International Relations and Development* 8 (2005): 111–141.

32. Daniel Nielson and Michael J. Tierney, "Theory, Data, and Hypothesis Testing: World Bank Environmental Reform Redux," *International Organization* 59, no. 3 (2005): 785–800. Others, however, strongly dispute that environmental mainstreaming has been successful in the Bank, and even suggest that environmental safeguards and lending have been declining in recent years. See, for example, Gutner's response to Nielson and Tierney: Tamar Gutner, "World Bank Environmental Reform: Revisiting Lessons from Agency Theory," *International Organization* 59, no. 3 (2005): 773–783.

33. World Bank Staff Association, "The Bank Group Is Always Navigating in Political Waters," *World Bank Staff Association Newsletter,* October 2001, pp. 1–4.

34. Gutner, "World Bank Environmental Reform."

35. Devesh Kapur, "From Shareholders to Stakeholders: The Changing Autonomy of Governance of the World Bank," in Pincus and Winters, *Reinventing the World Bank.*

36. A 1994 US GAO report revealed that in 1988–1989, 90 percent of the Young Professionals Program recruits were economists. Increasingly criticized for this bias in selectivity, the Bank opened its recruitment process so that by 1994 the number of entering young professionals with economics degrees fell to 63 percent. See "Multilateral Development: Status of World Bank Reforms," US GAO/NSIAD-94-190BR, June 1994. A recent interview with a young professional (a political scientist) confirmed this trend (interview with Bank official, April 2005). In a study conducted in 1991, Stern found that of the 586 staff surveyed in the research and policy department, 46 percent had undergraduate degrees and 55 percent had graduate degrees exclusively in economics or finance. Stern estimated that the ratio of professional economists on the Bank's staff put the ratio of economists to noneconomists at ten to one. Nicholas Stern with Francisco Ferreira, "The World Bank as 'Intellectual Actor,'" in D. Kapur, J. P. Lewis, and R. Webb, eds., *The World Bank: Its First Half Century* (Washington, DC: Brookings Institution, 1997). See also Michelle Miller-Adams, *The World Bank: New Agendas in a Changing World* (New York: Routledge Studies in Development Economics, 1999), p. 30.

37. See Nielson, Tierney, and Weaver, "Bridging the Rationalist-Constructivist Divide," on staffing trends during the Strategic Compact reform period.

38. Susan George and Fabrizio Sabelli, *Faith and Credit: The World Bank's Secular Empire* (Boulder: Westview, 1994), p. 193. See also Bebbington et al., "Exploring Social Capital Debates."

39. Conversations with Jean-Jacques Dethier, Budapest, Hungary, April 2005, and Washington, DC, July 2005. See also Robin Broad, "Research, Knowledge, and 'Paradigm Maintenance': The Political Economy of Research Within the World Bank's Development Economics Vice-Presidency," *Review of International Political Economy* 13, no. 3 (2006): 387–419; and Vijayendra Rao's and Michael Woolcock's article in this issue, "The Disciplinary Monopoly in Development Research at the World Bank." The evaluation report referred to here is "An Evaluation of World Bank Research, 1998–2005," cochaired by prominent economists Abhijit Banerjee, Angus Deaton, Nora Lustig, and Ken Rogoff. This report is available on the World Bank's external website.

40. Kardam, "Development Approaches," p. 1773; Bebbington et al., "Exploring Social Capital Debates."

41. Moises Naim, "The World Bank: Its Role, Governance, and Organizational Culture," *Bretton Woods: Looking to the Future* (Washington, DC: Bretton Woods Commission, 1994), p. C-283.

42. Robert Wade, "Japan, the World Bank, and the Art of Paradigm Maintenance: The East Asian Miracle in Political Perspective," *New Left Review*, 1, no. 217 (May–June 1996): 3–36; Wade, "Showdown at the World Bank," *New Left Review*, 7 (Jan.–Feb. 2001): 124–137; and Wade, "US Hegemony and the World Bank: The Fight Over People and Ideas," *Review of International Political Economy* 9, no.1 (2002): 215–243.

43. Leaked memo from the Middle East and North Africa (MENA) department, 1996. On file with author.

44. The cases in point are the dismissals of chief economist Joseph Stiglitz, William Easterly, and Ashraf Ghani. See Wade, "The Fight Over People and Ideas."

45. David Ellerman, "Mixing Truth and Power: Implications for a Knowledge Organization," *World Bank Staff Association Newsletter*, Nov.–Dec. 2001, p. 3.

46. Wade, "Japan, the World Bank, and the Art of Paradigm Maintenance," p. 35.